STIVEN CATALYST

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MANAGEMENT REVIEW

Management without theatre.



ROLE

THE FIRST 90 DAYS IN A NEW ROLE

How long until a new leader gives back what they cost, what 1,195 executives say about their transitions, Watkins's five situations, Gabarro's five stages, and a card for the first 90 days.

6.2 months, on average, for a mid-level manager in a new role to give as much value as they have consumed, by the estimate of over 200 CEOs and presidents.

WATKINS, 2003

INSIDE

COVER STORY
6.2 months to break even
PAGE 03

THE MODEL
Five situations
PAGE 05

TOOL OF THE ISSUE
The 90-day card
PAGE 08

NO. 26 · ROLE

In this issue

Every new role starts with a stretch in which the organisation gives more than it gets back. How long does it last, what makes it go wrong, and what can a new leader do in the first 90 days?

Over 200 CEOs and company presidents estimate that a mid-level manager in a new role needs 6.2 months on average to give back as much value as they have consumed. Of 1,195 executives surveyed by McKinsey, about a third needed more than 100 days to feel fully comfortable, and culture was the hardest part. Michael Watkins sorts transitions into five situations, John Gabarro found five stages of taking charge, and Matthew Bidwell found that external hires were paid more and rated lower in their first two years.

Stiven Janaqi EDITOR · STIVEN CATALYST

03 COVER STORY
6.2 months to break even

04 THE NUMBERS
1,195 executives look back

05 THE MODEL
Five situations, not one recipe

06 WHAT THE RESEARCH SAYS
Five stages of taking charge

07 HOW IT IS MEASURED
How failure is counted

08 TOOL OF THE ISSUE
The 90-day card

09 SOURCES
Sources and method

HOW TO READ THIS ISSUE

Figure
Every figure has its source and year at the foot of its page.

Our reading
Where the editors interpret rather than the research, it says so.

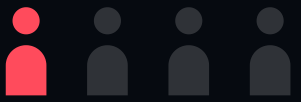
Practice
The steps and the card are proposals to try, not research results.

COVER STORY

6.2 months to break even

Michael Watkins calls it the breakeven point: the moment a new leader has given the new organisation as much value as they have consumed from it. Over 200 CEOs and company presidents put the time a typical mid-level manager needs to get there at 6.2 months on average.

MANAGERS IN LARGE CORPORATIONS WHO TAKE A NEW LEADERSHIP ROLE EACH YEAR, BY WATKINS'S ESTIMATE



1 in 4
takes a new leadership role

3 in 4
the others

The time varies widely with the situation, and the 6.2 months are an estimate by senior leaders rather than a measurement. Still, if about a quarter of managers enter a new role every year, transitions are no rare event in a large company.

OUR READING

Until the breakeven point the organisation is investing in the new leader. A planned start can shorten that time; no plan makes it disappear.

Source: Michael D. Watkins, Harvard Business School Press, 2003 (via CIO, 2003; readers' highlights)

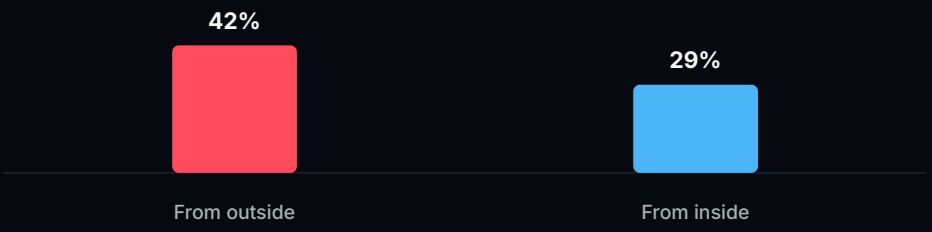
Both figures are estimates from Watkins's book of 2003; the method and the year of the survey are not given.

THE NUMBERS

1,195 executives look back

In July 2014 McKinsey asked 1,195 C-suite executives about their transitions, the first 18 months in the role. Culture was the area all of them found hardest to understand, whether they came from inside or from outside.

SAY MORE INFORMATION ON THE CULTURE WOULD HAVE HELPED THEM MOST IN THE TRANSITION (%)



27%
think their organisation had the right resources or programmes to support the move

≈ 1/3
needed more than 100 days to feel fully comfortable in the role

Creating a shared vision ranked first among the tasks of a transition, yet only 30% found it easy, and 39% of those whose transition succeeded. In hindsight, the executives say they would have moved faster in every area, most often in putting their team in place.

Source: McKinsey & Company, McKinsey Global Survey, 2015

Self-assessments by executives, with 2014 data; whether a transition succeeded is their own judgment. 622 came from outside, 573 from inside.

THE MODEL

Five situations, not one recipe

Michael Watkins sorts the situations a new leader walks into in his STARS model, named after their English initials. His texts of 2003 had four; his 2009 article in Harvard Business Review and the 2013 edition of his book have five.

01	**Start-up**	Assemble the people, money and technology to launch a new business or initiative.
02	**Turnaround**	Rescue a business or initiative known to be in serious trouble.
03	**Accelerated growth**	Lead a business that is expanding fast.
04	**Realignment**	Revitalise a once-successful organisation that now has problems.
05	**Sustaining success**	Follow a highly regarded leader and take the business to the next level.

Some principles hold everywhere: organise to learn the business, set the few priorities that matter most, and secure early wins. How to apply them depends on the situation, and a leader who repeats what worked last time may be making a mistake.

OUR READING

Name the situation before writing the plan for the first 90 days. A turnaround and a role that must sustain success call for very different first moves.

Sources: Michael D. Watkins, Harvard Business School Press, 2003 (via CIO, 2003; readers' highlights); Michael D. Watkins, Harvard Business Review, 2009; Michael D. Watkins, Harvard Business Review Press, 2013 (via Book summaries)

The descriptions follow the 2009 article; their wording varies a little between summaries of the book.

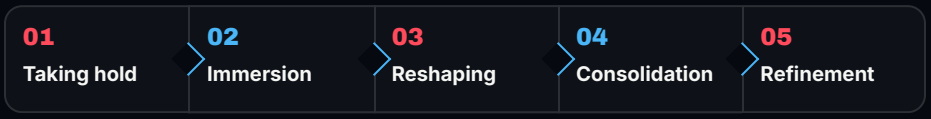
More in the essay The Operations Manager I want to be

WHAT THE RESEARCH SAYS

Five stages of taking charge

John Gabarro followed 14 successions: a three-year study of four newly appointed division presidents, and ten historical cases that included turnarounds, normal situations, failures and successes. Management style and working relationships made a difference.

THE STAGES OF TAKING CHARGE, AFTER GABARRO



Matthew Bidwell studied personnel data from 2003 to 2009 from the US investment-banking division of a large financial firm. External hires were paid around 18% more than staff promoted into similar jobs, got significantly lower performance ratings in their first two years, and left more often. Those who stayed were promoted faster.

OUR READING

A leader from outside starts without the context that insiders have. Building it is part of the work of the first months and deserves its own place in the plan.

Sources: John J. Gabarro, Harvard Business Review, 1985; Matthew Bidwell, Administrative Science Quarterly, 2011

Bidwell's data come from one firm and cover all levels, leaders among them; they show associations and fall short of full proof of cause. In Gabarro's US cases, taking charge took two to two and a half years.

HOW IT IS MEASURED

How failure is counted

There is no single measure of a failed transition. Studies quoted by McKinsey in 2018 find that two years after executive transitions, 27% to 46% are regarded as failures or disappointments. That is a judgment, and no single measured rate.

90%
more likely that the team meets its three-year goals, when the transition succeeds

15%
lower performance of the direct reports, when the new leader struggles

20%
more likely that those direct reports disengage or leave

The figure quoted most often, that 40% of new executives fail within 18 months, goes back at least to Fortune in 1998, which credited the Center for Creative Leadership and the firm Manchester. How the 40% was derived is not shown, so we do not report it as data. Manchester had asked 826 HR specialists why new managers fail.

The reasons they gave

1. no good relationships with peers and staff
2. unclear about what the boss expects
3. too little political skill inside the organisation
4. the most important objectives of the role missed

Sources: Scott Keller & Mary Meaney, McKinsey & Company, 2018; Anne Fisher, Fortune, 1998 (via Health Progress, 1998)

McKinsey cites the 90%, 15% and 20% from a CEB blog of 2013; method and sample are not given. The 27% and the 46% come from two different studies.

TOOL OF THE ISSUE

The 90-day card

Fill it in during the first two weeks and look at it again on days 30, 60 and 90. Each line answers one of the reasons new managers fail.

01 The situation start-up, turnaround, accelerated growth, realignment or sustaining success, and why

02 What my boss expects in their words, by when, and how we will both know

03 Priorities the few that matter most, and what will not continue

04 An early win a result others can see, by day 90

05 People to meet peers and team members, one to one, and when

06 The culture what surprised me, and whom I can ask

Sources: Michael D. Watkins, Harvard Business Review, 2009; McKinsey & Company, McKinsey Global Survey, 2015; Anne Fisher, Fortune, 1998 (via Health Progress, 1998)

A plan of our own, after Watkins (2009), McKinsey (2015) and the reasons reported by Fortune (1998).

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

The First 90 Days: Critical Success Strategies for New Leaders at All Levels
Michael D. Watkins, Harvard Business School Press, 2003 · via CIO, 2003; readers' highlights

Picking the Right Transition Strategy
Michael D. Watkins, Harvard Business Review, 2009
https://hbr.org/2009/01/picking-the-right-transition-strategy

The First 90 Days, Updated and Expanded: Proven Strategies for Getting Up to Speed Faster and Smarter
Michael D. Watkins, Harvard Business Review Press, 2013 · via Book summaries

Ascending to the C-suite
McKinsey & Company, McKinsey Global Survey, 2015
https://www.mckinsey.com/featured-insights/leadership/ascending-to-the-c-suite

Successfully transitioning to new leadership roles
Scott Keller & Mary Meaney, McKinsey & Company, 2018
https://www.mckinsey.com/capabilities/people-and-organizational-performance/our-insights/successfully-transitioning-to-new-leadership-roles

When a New Manager Takes Charge
John J. Gabarro, Harvard Business Review, 1985
https://store.hbr.org/product/when-a-new-manager-takes-charge-hbr-classic/R0701K

Paying More to Get Less: The Effects of External Hiring versus Internal Mobility
Matthew Bidwell, Administrative Science Quarterly, 2011
https://doi.org/10.1177/0001839211433562

Don't Blow Your New Job
Anne Fisher, Fortune, 1998 · via Health Progress, 1998

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

Management without theatre.

Every issue, one management question, checked against the best research.

ALL ISSUES

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